



POWER PLAY The BJP, led by Prime Minister Narendra Modi (left), is dependent on allies TDP, led by N. Chandrababu Naidu (centre top), and JD(U), led by Nitish Kumar (centre bottom), to shore up the numbers. Meanwhile, the Congress, led by Mallikarjun Kharge (right bottom) and Rahul Gandhi, has done better than expected

MANDATE 2024

CONTINUITY WITH CHANGE

The economy seems to be well placed. The election results could mean a slower pace of reforms, but the focus on development is likely to continue

BY SURABHI

► **FOUR YEARS AFTER** the shock of the Covid-19 pandemic, the economy seems to be in reasonably good shape. The gross domestic product (GDP) grew at 8.2% in financial year 2023-24 (FY24), which was the third straight year of more than 7% growth. Tax collections have been robust, and private investments too seem to be staging a revival. The

Centre's fiscal deficit was well controlled at 5.6% of the GDP in FY24, with indications that it could do better than the Interim Budget's target of 5.1% in the current fiscal.

But the results of the Lok Sabha elections show that a coalition government will be formed since no political party has a clear majority. The Bharatiya Janata Party-led National

Democratic Alliance (NDA) is just shy of 300 seats in the 543-member Lok Sabha and is likely to form the government for the third term. But there will be at least some changes since the BJP will rely on allies such as the Telugu Desam Party and Janata Dal (United). This will mean that the government will have to hold fresh discussions on several pending

NARENDRA MODI PHOTO BY BANDEEP SINGH; N. CHANDRABABU NAIDU, NITISH KUMAR AND MALLIKARJUN KHARGE PHOTOS BY ANI; RAHUL GANDHI PHOTO BY HARDIK CHHABRA